

SAMPLE CONTRACT

Contract No. _____

PROFESSIONAL SERVICES AGREEMENT

THIS AGREEMENT made and entered into this _____ day of _____, 20____, by and between **ABC CORPORATION**, a corporation duly organized and existing under the laws of the Republic of the Philippines, with principal office address at 123 Ayala Avenue, Makati City, Metro Manila, Philippines, hereinafter called **COMMISSION**, and **JUAN DELA CRUZ**, doing business as JDC Tech Solutions, hereinafter called **CONSULTANT**, for Professional Technology and Software Development Services.

1. DUTIES.

A. **CONSULTANT** agrees to exercise special skill to accomplish the following results in a manner reasonably satisfactory to **COMMISSION**, as specified in Exhibit A: Scope of Services, which by this reference is incorporated herein:

- 1) Full stack web application development for iOS, Android, and web platforms
- 2) Database design, optimization, and cloud infrastructure setup and maintenance
- 3) API development and third-party integrations
- 4) Quality assurance, testing, technical documentation, and knowledge transfer
- 5) Ongoing technical support and maintenance services

B. **CONSULTANT** shall provide the personnel listed below to perform the above-specified services, which persons are hereby designated as key personnel under this Agreement:

Name	Firm	Function
_____	JDC Tech Solutions	Principal in Charge
_____	JDC Tech Solutions	Project Manager
_____	JDC Tech Solutions	Lead Developer
_____	JDC Tech Solutions	QA Engineer

C. No person named in paragraph B of this Section shall be removed or replaced by **CONSULTANT**, nor shall his or her agreed-upon function hereunder be changed, without the prior written consent of **COMMISSION**. Such consent shall not be unreasonably withheld.

D. CONSULTANT'S PROGRESS REPORTS AND/OR MEETINGS

- 1) The CONSULTANT shall submit written progress reports with each invoice. The report should be sufficiently detailed for the Contract Manager to determine if the CONSULTANT is performing to expectations or is on schedule; to provide communication of interim findings; and to sufficiently address any difficulties or special problems encountered, so remedies can be developed.
- 2) The CONSULTANT's Project Manager shall meet with the COMMISSION's Contract Manager, as needed, to discuss progress on the contract.
- 3) CONSULTANT shall maintain a shared project tracking system accessible to COMMISSION at all times, updated no less than weekly, reflecting task completion status, upcoming milestones, and open risks.

2. COMPENSATION.

In consideration for CONSULTANT accomplishing said result, COMMISSION agrees to pay CONSULTANT as follows:

A. Total payment is not to exceed PHP 150,000.00 (One Hundred Fifty Thousand Pesos) per calendar month for time and materials at the rates and conditions set forth in Exhibit B: Fee Schedule, which by this reference is incorporated herein.

B. In no event will the CONSULTANT be reimbursed for overhead costs at a rate that exceeds the overhead rate set forth in the Fee Schedule.

C. Transportation and subsistence costs shall not exceed the rates authorized to employees under applicable Philippine government travel rules.

D. Reimbursable expenses will be billed by CONSULTANT and processed for payment upon approval of the Contract Manager. All expenses exceeding PHP 5,000.00 must receive prior written approval before being incurred.

E. Progress payments will be made no less than monthly in arrears based on satisfactory services provided and actual allowable incurred costs. Payment schedule is as follows:

- 1) Fifty percent (50%) — PHP 75,000.00 — due on the 1st day of each calendar month
- 2) Fifty percent (50%) — PHP 75,000.00 — due on the 15th day of each calendar month

F. No payment will be made prior to approval of any work, nor for any work performed prior to approval of this Agreement.

G. CONSULTANT shall not exceed milestone cost estimates as shown in Exhibit B, except with the prior written approval of the Contract Manager.

H. The CONSULTANT will be reimbursed after receipt by the COMMISSION's Contract Manager of itemized invoices. Invoices shall be submitted no later than 45 calendar days after the performance of work for which the CONSULTANT is billing. Invoices shall be sent to:

ABC Corporation, Attn: Contract Manager
123 Ayala Avenue, Makati City, Metro Manila, Philippines

The invoices must include the following information:

- 1) Labor (staff name, hours charged, hourly billing rate, current charges and cumulative charges) performed during the billing period by task
- 2) Itemized expenses incurred during the billing period
- 3) Total invoice and payment requested
- 4) Total amount previously paid under this Agreement
- 5) Report of expenditures by CONSULTANT and subconsultants for each task and subtask or milestone and estimated percentage completion
- 6) Written progress reports in a format to be mutually agreed upon
- 7) CONSULTANT's final invoice must be submitted within 60 calendar days after acceptance of the CONSULTANT's work by the Contract Manager

I. Annual rate adjustments shall not exceed fifteen percent (15%) of the then-current monthly retainer fee and shall require sixty (60) days prior written notice to COMMISSION.

J. CONSULTANT shall be solely responsible for all applicable taxes including income tax, business tax, and value added tax, as well as all government-mandated contributions including SSS, PhilHealth, and Pag-IBIG. COMMISSION shall withhold creditable withholding tax as required by the Bureau of Internal Revenue and shall provide CONSULTANT with BIR Form 2307 within the prescribed period.

3. TERM.

This Agreement shall take effect on _____ (DATE); contingent upon prior approval by the COMMISSION governing board, and the CONSULTANT shall commence work after notification to proceed by the COMMISSION's Contract Manager. The Agreement shall end on _____ (DATE), unless earlier terminated or extended by contract amendment. The initial term of this Agreement is twelve (12) months. Upon expiration of the initial term, this Agreement shall automatically renew for successive twelve (12) month periods unless either party provides written notice of non-renewal at least sixty (60) days prior to the expiration of the then-current term. The CONSULTANT is advised that this Agreement is not binding and enforceable until it is fully executed and approved by the COMMISSION's board.

4. EARLY TERMINATION.

A. COMMISSION may terminate this Agreement for its convenience any time, in whole or in part, by giving CONSULTANT thirty-day (30-day) written notice thereof. Within thirty days of the COMMISSION's receipt of CONSULTANT's final billing, COMMISSION shall pay CONSULTANT its allowable costs incurred to date of termination and those allowable costs determined by COMMISSION to

be reasonably necessary to effect such termination. Thereafter, CONSULTANT shall have no further claims against COMMISSION under this Agreement.

B. COMMISSION may terminate this Agreement for CONSULTANT's default if: (i) a federal or state proceeding for the relief of debtors is undertaken by or against CONSULTANT or CONSULTANT's principal; (ii) CONSULTANT or CONSULTANT's principal makes an assignment for the benefit of creditors; or (iii) CONSULTANT breaches any term or violates any provision of this Agreement and does not cure such breach or violation within ten (10) days after written notice thereof by COMMISSION. CONSULTANT shall be liable for any and all reasonable costs incurred by COMMISSION as a result of such default, including but not limited to procurement costs.

C. CONSULTANT may terminate this Agreement by giving the COMMISSION at least one hundred and twenty (120) days advance written notice. CONSULTANT shall be liable for any and all reasonable costs incurred by COMMISSION as a result of such termination, including but not limited to procurement costs of the same or similar services.

D. Upon termination for any reason, CONSULTANT shall immediately deliver to COMMISSION all work product, source code, documentation, and materials developed under this Agreement.

5. INDEMNIFICATION FOR DAMAGES, TAXES AND CONTRIBUTIONS.

CONSULTANT shall exonerate, indemnify, defend, and hold harmless the COMMISSION (which for the purpose of this Agreement shall include, without limitation, its officers, agents, employees and volunteers) from and against:

A. Any and all claims, demands, losses, damages, defense costs, or liability of any kind or nature which COMMISSION may sustain or incur or which may be imposed upon it for injury to or death of persons, or damage to property which arise out of, pertain to, or relate to CONSULTANT's negligence, recklessness, or willful misconduct under the terms of this Agreement.

B. Any and all Federal, State and Local taxes, charges, fees, or contributions required to be paid with respect to CONSULTANT and CONSULTANT's officers, employees and agents engaged in the performance of this Agreement, including without limitation unemployment insurance, social security and payroll tax withholding.

6. INSURANCE.

CONSULTANT, at its sole cost and expense, for the full term of this Agreement and any extensions thereof, shall obtain and maintain at minimum compliance with all of the following insurance coverages and requirements. Such insurance coverage shall be primary coverage as respects COMMISSION and any insurance or self-insurance maintained by COMMISSION shall be excess of CONSULTANT's insurance coverage and shall not contribute to it.

A. Types of Insurance and Minimum Limits

Insurance Type	Minimum Coverage	Notes
Workers' Compensation	Statutory minimum required coverage	Required unless no employees
Automobile Liability	\$1,000,000 combined single limit per occurrence	Covers owned, non-owned, leased, or hired vehicles
Commercial General Liability	\$1,000,000 combined single limit	Covers bodily injury, personal injury, property damage, contractual and cross-liability
Professional Liability	\$1,000,000 combined single limit	Required if initialed by both parties

B. Other Insurance Provisions

- 1) If any insurance coverage required in this Agreement is provided on a "Claims Made" rather than "Occurrence" form, CONSULTANT agrees to maintain the required coverage for a period of three (3) years after the expiration of this Agreement and any extensions thereof.
- 2) All required Automobile and Commercial General Liability Insurance shall be endorsed to name ABC CORPORATION, its officials, employees, agents and volunteers as additional insureds.
- 3) All required insurance policies shall contain a thirty (30) days prior written notice of cancellation clause, addressed to the COMMISSION's Contract Manager.
- 4) CONSULTANT agrees to provide its insurance broker(s) with a full copy of these insurance provisions and provide COMMISSION with Certificates of Insurance for all required coverages on or before the effective date of this Agreement.
- 5) CONSULTANT agrees that the insurance herein provided shall be in effect at all times during the term of this Agreement. In the event said insurance coverage expires, CONSULTANT agrees to provide at least thirty (30) days prior notice and a new Certificate of Insurance.
- 6) CONSULTANT shall cause these insurance provisions to be inserted in all subcontracts for any work covered under this Agreement by a subconsultant compensated more than PHP 1,250,000 and employing more than fifteen (15) employees.

7. FEDERAL, STATE AND LOCAL LAWS.

CONSULTANT warrants that in the performance of this Agreement, it shall exercise usual and customary professional care in its efforts to comply with all applicable federal, state and local laws, statutes and ordinances and all lawful orders, rules and regulations promulgated thereunder. In the event of a conflict between the laws and lawful regulations of any government entities having jurisdiction over the project, the CONSULTANT shall notify COMMISSION of the nature and impact of such conflict. The COMMISSION agrees to cooperate and work with the CONSULTANT in an effort to resolve any conflict.

8. EQUAL EMPLOYMENT OPPORTUNITY.

During and in relation to the performance of this Agreement, CONSULTANT agrees to the following: The CONSULTANT shall not discriminate or permit discrimination against any employee or applicant for employment in any manner prohibited by Federal, State and local laws, including but not limited to race, color, gender, religion, national origin, ancestry, physical or mental disability, medical condition, marital status, sexual orientation, age, veteran status, pregnancy, or any other non-merit factor unrelated to job duties.

Such action shall include but not be limited to: recruitment, advertising, layoff or termination, rates of pay or other forms of compensation, and selection for training including apprenticeship, employment, upgrading, demotion, or transfer. CONSULTANT agrees to post in conspicuous places, available to employees and applicants, notice setting forth the provisions of this nondiscrimination clause.

9. HARASSMENT.

The COMMISSION maintains a strict policy prohibiting unlawful harassment, including sexual harassment, in any form — including verbal, physical, and visual harassment — by any employee, supervisor, manager, officer, board member, or agent. Vendors and CONSULTANTs shall not engage in conduct that has an effect of unreasonably interfering with a COMMISSION employee's work performance or creates an intimidating, hostile, or offensive work environment.

10. LICENSES.

If a license of any kind is required of CONSULTANT, its employees, agents, or sub-CONSULTANTs by Federal or State law, CONSULTANT warrants that such license has been obtained, is valid and in good standing, that CONSULTANT shall keep it in effect at all times during the terms of this Agreement, and that any applicable bond has been posted in accordance with all applicable laws and regulations.

11. INDEPENDENT CONSULTANT STATUS.

CONSULTANT and COMMISSION have reviewed and considered the principal test and secondary factors herein and agree that CONSULTANT is an independent CONSULTANT and not an employee of COMMISSION. CONSULTANT is responsible for all insurance (workers compensation, unemployment, etc.) and all payroll related taxes. CONSULTANT is not entitled to any employee benefits. COMMISSION agrees that CONSULTANT shall have the right to control the manner and means of accomplishing the result contracted for herein.

PRINCIPAL TEST: The CONSULTANT rather than COMMISSION has the right to control the manner and means of accomplishing the result contracted for.

SECONDARY FACTORS: (a) Control by COMMISSION over details of work is slight; (b) CONSULTANT is engaged in a distinct occupation; (c) Work is usually done by a specialist without supervision; (d) Substantial skill is required; (e) CONSULTANT supplies its own tools and workplace; (f) Engagement is of limited duration; (g) Payment is by the job rather than by time; (h) Work is part of a special project rather than the

regular business of COMMISSION; (i) Both parties believe they are creating an independent relationship; and (j) COMMISSION conducts public business.

12. RETENTION AND AUDIT OF RECORDS.

For the purpose of determining compliance with applicable laws and regulations, CONSULTANT, subconsultants, and the COMMISSION shall maintain all books, documents, papers, accounting records, and other evidence pertaining to the performance of the contract. All parties shall make such materials available at their respective offices at all reasonable times during the Agreement period and for five (5) years from the date of final payment under this Agreement or until a final audit report is accepted by COMMISSION, whichever occurs first. The COMMISSION and any duly authorized representative of applicable government agencies shall have access to any books, records, and documents of the CONSULTANT that are pertinent to the Agreement for audit, examination, excerpts, and transactions.

Subcontracts in excess of PHP 1,250,000 shall contain this provision.

13. INSPECTION OF WORK.

The CONSULTANT and any subconsultant shall permit the COMMISSION and any authorized government representative to review and inspect the project activities and files at all reasonable times during the term of this Agreement, including review and inspection on a daily basis.

14. ACKNOWLEDGMENT.

CONSULTANT shall acknowledge in all reports, publications, and literature that the material is prepared for and on behalf of the COMMISSION. All deliverables shall bear the COMMISSION's branding and copyright notice as directed by the Contract Manager.

15. WORK PRODUCTS.

All material, data, information, and written, graphic or other work produced under this Agreement is subject to the unqualified and unconditional right of the COMMISSION to use, reproduce, publish, display, and make derivative use of all such work, or any part of it, free of charge and in any manner and for any purpose; and to authorize others to do so. If any of the work is subject to copyright, trademark, service mark, or patent, CONSULTANT now grants to the COMMISSION a perpetual, royalty-free, nonexclusive and irrevocable license.

A. Upon completion of all work under this Agreement, ownership and title to all custom letters, reports, documents, plans, specifications, estimates, source code, and other products produced as part of this Agreement will automatically be vested in the COMMISSION. No further agreement will be necessary to transfer ownership. CONSULTANT shall furnish the COMMISSION all necessary copies of data needed to complete the review and approval process.

B. Any subcontract in excess of PHP 1,250,000 entered into as a result of this Agreement shall contain all of the provisions of this Section.

C. CONSULTANT shall not utilize work produced under this Agreement for any profit-making venture, or sell or grant rights to a third party for that purpose without prior written consent of COMMISSION.

16. SAFETY.

A. The CONSULTANT shall comply with all applicable occupational safety and health regulations. CONSULTANT personnel shall wear required personal protective equipment at all times while working on-site.

B. Areas within the limits of the project may be open to public and private traffic. The CONSULTANT shall comply with all applicable traffic and vehicle safety laws and shall take all reasonably necessary precautions for safe operation of its vehicles and the protection of the traveling public from injury and damage from such vehicles.

C. Any subcontract entered into as a result of this Agreement shall contain all of the provisions of this Section.

17. MODIFICATION OF AGREEMENT.

A. This Agreement may be amended or modified only by mutual written agreement of the parties.

B. The CONSULTANT shall only commence work covered by an amendment after the amendment is executed and notification to proceed has been provided by the COMMISSION's Contract Manager.

C. There shall be no change in the CONSULTANT's Project Manager or members of the project team without prior written approval by the COMMISSION's Contract Manager.

D. No oral understanding or agreement not incorporated herein shall be binding on the parties.

18. DISPUTES.

This Agreement shall be construed under the laws of the Republic of the Philippines. Pending final resolution of a dispute hereunder, CONSULTANT shall proceed diligently with the performance of this Agreement and shall comply with COMMISSION's instructions.

A. Any dispute concerning a question of fact arising under this Agreement that is not disposed of by agreement shall be decided by a committee consisting of the COMMISSION's Contract Manager and Executive Director, who shall consider written or verbal information submitted by the CONSULTANT.

B. Not later than 30 days after completion of all deliverables, the CONSULTANT may request review by the COMMISSION GOVERNING BOARD of unresolved claims or disputes. The request for review must be submitted in writing.

C. Neither the pendency of a dispute, nor its consideration by the committee will excuse the CONSULTANT from full and timely performance in accordance with the terms of this Agreement.

19. AUDIT REVIEW PROCEDURES.

A. Any dispute concerning a question of fact arising under an interim or post-completion audit of this Agreement that is not disposed of by agreement shall be reviewed by the COMMISSION's Contract Manager.

B. Not later than 30 days after issuance of the final audit report, the CONSULTANT may request a review by the COMMISSION's Executive Director of unresolved audit issues. The request for review will be submitted in writing.

C. Neither the pendency of a dispute nor its consideration by the COMMISSION will excuse the CONSULTANT from full and timely performance in accordance with the terms of this Agreement.

20. SUBCONTRACTING.

A. The CONSULTANT shall perform the work contemplated with resources available within its own organization; and no portion of the work pertinent to this Agreement shall be subcontracted without prior written authorization by the COMMISSION's Contract Manager, except that which is expressly identified in the approved Fee Schedule.

B. Any subcontract in excess of PHP 1,250,000 entered into as a result of this Agreement shall contain all the provisions required by this Agreement to be applicable to subconsultants.

C. No substitution of subconsultants shall be valid until approved in writing by the COMMISSION's Contract Manager.

21. NONASSIGNMENT.

The CONSULTANT shall not assign the Agreement without the prior written consent of the COMMISSION. Any attempted assignment without prior written consent shall be null and void and shall constitute a material breach of this Agreement.

22. REBATES, KICKBACKS OR OTHER UNLAWFUL CONSIDERATION.

The CONSULTANT warrants that this Agreement was not obtained or secured through rebates, kickbacks or other unlawful consideration, either promised or paid to any COMMISSION employee. For breach or violation of this warranty, COMMISSION shall have the right in its discretion to terminate the Agreement without liability; to pay only for the value of the work actually performed; or to deduct from the contract price; or otherwise recover the full amount of such rebate, kickback or other unlawful consideration.

23. CONFIDENTIALITY.

Each party acknowledges that in connection with this Agreement it may have access to confidential and proprietary information including but not limited to business plans, strategies, trade secrets, financial information, customer data, technical information, and product development plans. Each party agrees to hold the other party's confidential information in strict confidence and to use such information solely for the purposes of performing its obligations under this Agreement. Confidentiality obligations survive the termination or expiration of this Agreement for a period of five (5) years.

24. NOTIFICATION.

All notices hereunder and communications regarding interpretation of the terms of this Agreement and changes thereto, shall be effected by the mailing thereof by registered or certified mail, return receipt requested, postage prepaid, and addressed as follows:

CONSULTANT: Juan dela Cruz / JDC Tech Solutions Project Manager: _____ 456 Rizal Street, Quezon City, Metro Manila Email: _____	COMMISSION: ABC Corporation Attn: Contract Manager 123 Ayala Avenue, Makati City Metro Manila, Philippines
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25. COMPLETE AGREEMENT.

A. AGREEMENT: The two parties to this Agreement, who are the before named CONSULTANT and the before named COMMISSION, hereby agree that this Agreement constitutes the entire Agreement which is made and concluded in duplicate between the two parties. Both of these parties for and in consideration of the payments to be made, conditions mentioned, and work to be performed; each agree to diligently perform in accordance with the terms and conditions of this Agreement as evidenced by the signatures below.

B. COMMISSION DESIGNEE: The Executive Director of COMMISSION, or his or her designee, shall have the authority to act for and exercise any of the rights of COMMISSION as set forth in this Agreement subsequent to, and in accordance with the authorization granted by the COMMISSION.

C. COMPLETE AGREEMENT, INCLUDING ATTACHMENTS: This Agreement includes all exhibits, attachments, and documents incorporated herein and made applicable by reference, constitutes the complete and exclusive statement of the terms and conditions of the Agreement between COMMISSION and CONSULTANT, and supersedes all prior representations, understandings and communications. The invalidity in whole or in part of any term or condition of this Agreement shall not affect the validity of other terms or conditions.

D. Attachments are:

- 1) Exhibit A: Scope of Services
- 2) Exhibit B: Fee Schedule
- 3) Exhibit C: Insurance Certificates
- 4) Exhibit D: Key Personnel List

Each of the undersigned represents and warrants that he or she is duly authorized to execute and deliver this Agreement and that such execution is binding upon the entity for which he or she is executing this document.

IN WITNESS WHEREOF, the parties hereto have caused this Agreement No. _____ to be executed on the date first written above.

1. CONSULTANT

2. ABC CORPORATION

By: (SIGNED)

By: (SIGNED)

PRINTED NAME

PRINTED NAME

Company Name:

Maria Santos, Chief Executive Officer
ABC Corporation

Address:

123 Ayala Avenue, Makati City, Philippines

Telephone:

Email:

3. APPROVED AS TO INSURANCE:

4. APPROVED AS TO FORM:

Administrative Services Officer

Commission Counsel

DISTRIBUTION:

- RTC Fiscal & Contract Manager
- CONSULTANT
- Legal Department
- Administrative Services